COURSE

## Pearson Edexcel International GCSE in Business (4BS1)

# Business performance

**Section 3 · 3.5 Accounts analysis**

Revision for Section 3: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Pearson Edexcel International GCSE Business (4BS1)** | **Business performance** |

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| Firm decisions | Deals | Topic task 1 | Topic task 2 |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| Firm decisions | Deals | Topic task 3 | Topic task 4 | B2B deal |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

| | | | | |
|---|---|---|---|---|
| Firm decisions | Deals | Topic task 5 | Topic task 6 | B2B deal |

| | |
|---|---|
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Last year's accounts.

**Gross profit margin, as a %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Cars sold | **12 cars** |
| Price per car | **£16,500** |
| Gross profit | **£45,540** |

METHOD

**Gross margin = gross profit ÷ (cars × price) × 100**

12 × £16,500 = £198,000; £45,540 ÷ £198,000 × 100 = 23%

**Why:** It keeps 23p of every £1 of sales before overheads.

## Task 2

ROUND 1

Gross profit margin stayed the same, but operating profit margin fell.

**Which two could explain this?**

PICK TWO

- ○ Cars cost more to buy
- ○ More cars were sold
- ○ Prices were cut
- ✔ **Rent rose**
- ✔ **Staff wages rose**

**Why:** Only expenses come between gross profit and operating profit.

## Task 3

ROUND 2

Three dealers: sales and gross profit for the year.

**Order by gross margin, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Sales £80,000, gross profit £24,000**
2. **Sales £200,000, gross profit £50,000**
3. **Sales £500,000, gross profit £100,000**

**Why:** Margins 30%, 25%, 20%: the biggest profit has the lowest margin.

## Task 4

ROUND 2

Two years compared.

**Gross margin change, in % points?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Sales, last year | **£200,000** |
| Gross profit, last year | **£32,000** |
| Sales, this year | **£190,000** |
| Gross profit, this year | **£47,500** |

METHOD

**Change = this year's margin – last year's margin (gross profit ÷ sales)**

£47,500 ÷ £190,000 = 25%; £32,000 ÷ £200,000 = 16%; 25 – 16 = 9 points

**Why:** The margin went from 16% to 25%.

## Task 5

ROUND 3

You want a higher gross profit margin.

**Which change works, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **Buy cars more cheaply**
- ○ Cut the showroom rent

**Why:** Rent is an overhead; gross margin is price less the cost of the cars.

## Task 6

ROUND 3

Overheads are going up.

**New operating profit margin, as a %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Sales | **£140,000** |
| Gross profit | **£15,300** |
| Overheads | **£5,000** |
| Overheads rise by | **10%** |

METHOD

**Operating margin = (gross profit – new overheads) ÷ sales × 100**

£5,000 + 10% = £5,500; £15,300 − £5,500 = £9,800; ÷ £140,000 = 7%

**Why:** Work out the new overheads first, then the margin.

# Final questions

**6**
questions for each pupil

**159**
Level 2 Business questions

**4**
of them on business performance

**The game draws 6 of the 159 Level 2 questions; these 4 are about business performance.**

1 A dealership has gross profit of £60,000 and sales revenue of £150,000. What is its gross profit margin?
**40%.**

2 A workshop has £30,000 gross profit and a 30% gross profit margin. What is its sales revenue?
**£100,000.**

3 A promoted line's gross profit stays £30,000 while sales revenue rises from £84,000 to £90,000. What is the new gross profit margin?
**33.3% (approximately).**

4 Gross profit margin = gross profit ÷ revenue × 100. Revenue is £600,000 and gross profit £150,000. Using the formula, what is the gross profit margin?
**25%.**